# Procurement Value Opportunity Brief

UltraTech Cement Limited | Demonstration Archetype Edition

PRIMARY VALUE THESIS

## Rs. 78.72 Cr

### Direct Savings Opportunity

Defensible P&L cost reduction across rate harmonization, volume pooling, and strategic tenders. Reconciled with 0 variance against 31,671 invoice transactions.

NET DEFENSIBLE PIPELINE

**Rs. 93.60 Cr**

Direct Savings + Strategic Market Value

STRATEGIC MARKET VALUE

**Rs. 14.88 Cr**

Commodity Timing & Index Contracting Levers

TOTAL SPEND EVALUATED

**Rs. 5,920.35 Cr**

31,671 Invoiced Records | April 2024 - March 2026

**"24 months of transaction-level procurement analysis translated into an approved defensible value pipeline."**

DIAGNOSTIC INSIGHTS

# What the Procurement Data Tells Us [DEMONSTRATION ARCHETYPE]

aiCEV by Procucev

### SPEND CONCENTRATION

**81.4%**

Spend concentrated in top 10% of suppliers

### PRICE DISPERSION

**18.5%**

Inter-plant price variance on repeat SKUs

### CONTRACTING GAP

**42.6%**

Spot / non-contracted purchases across plants

### SUPPLIER BASE

**912**

Tail suppliers accounting for 4.8% spend

### DEFENSIBLE VALUE

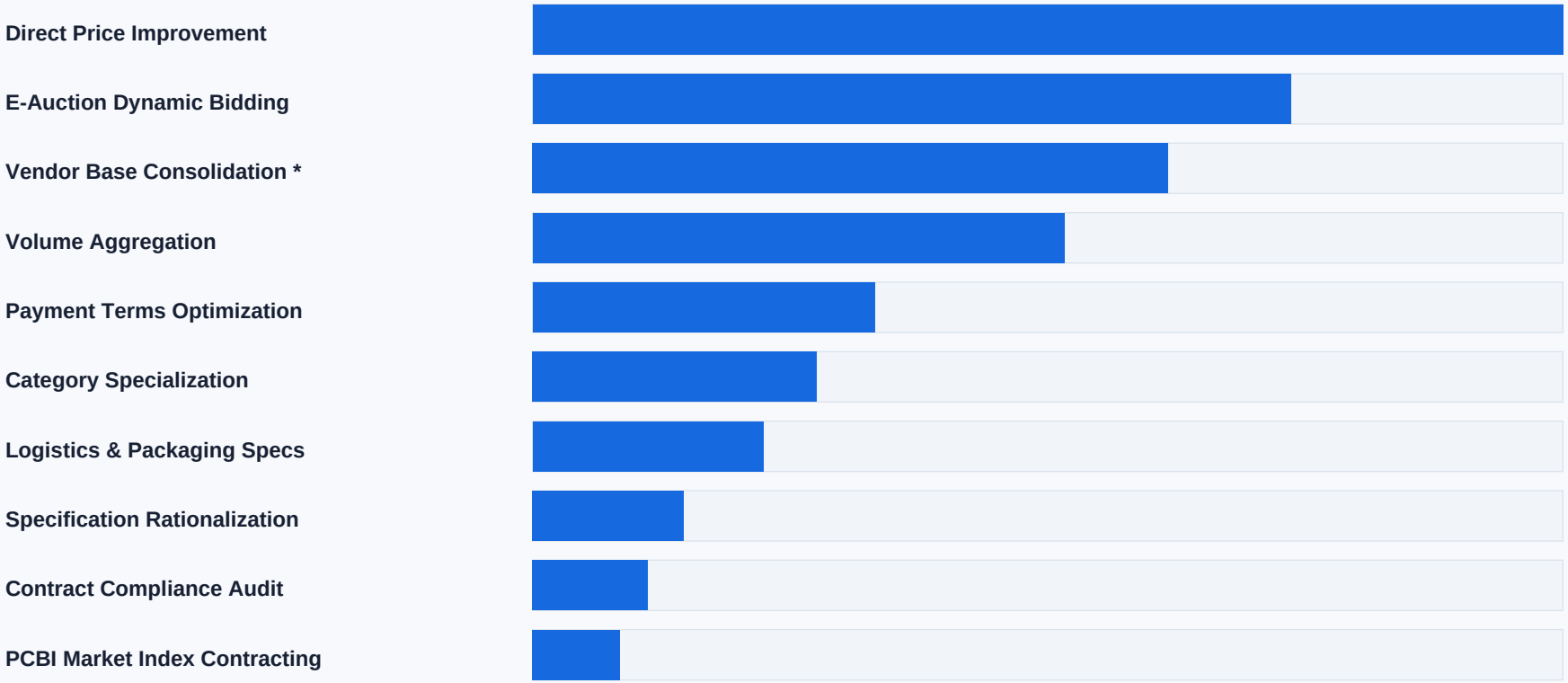
**Rs. 93.60 Cr**

Net defensible pipeline post-overlap & policy deduction

**Value is concentrated in price harmonization, supplier consolidation, strategic sourcing and benchmark-led market alignment.**

Evaluated across 26 manufacturing plants and 256 material groups over 24 months of invoiced ledger history.

# WHERE THE OPPORTUNITY IS CONCENTRATED [DEMONSTRATION ARCHETYPE]




GROSS IDENTIFIED OPPORTUNITY

**Rs. 173.12 Cr**

Individual opportunities are assessed independently and deduplicated before establishing the net defensible pipeline.

Individual opportunities are assessed independently and deduplicated before establishing the net defensible pipeline.

*Detailed sourcing evidence: Boardroom & Evidence Edition - Slides 9, 14-19*

FINANCIAL RECONCILIATION

# From Gross Opportunity to Defensible Value

GROSS OPPORTUNITY

**Rs. 173.12 Cr**

Sum of 10 opportunity levers identified across spend baseline

->

OVERLAP DEDUCTIONS

**- Rs. 62.80 Cr**

Eliminates cross-lever double-counting between price & auction

->

POLICY EXCLUSIONS

**- Rs. 16.72 Cr**

Long-term single-source OEM & statutory boundary constraints

->

NET DEFENSIBLE PIPELINE

**Rs. 93.60 Cr**

Audited, risk-adjusted value pipeline ready for executive capture

DIRECT SAVINGS OPPORTUNITY (P&L EBITDA EXPANSION)

**Rs. 78.72 Cr**

Harmonization, volume pooling, and competitive tenders delivering direct cost reductions.

STRATEGIC MARKET VALUE (COMMODITY & TIMING LEVERS)

**Rs. 14.88 Cr**

Contract reset timing and market index formula contracting tracked distinctly.

**Mathematical reconciliation variance: Rs. 0.00 Cr | Gross (Rs. 173.12 Cr) - Deductions (Rs. 62.80 Cr) - Exclusions (Rs. 16.72 Cr) = Net Pipeline (Rs. 93.60 Cr)**

*Full financial reconciliation: Boardroom & Evidence Edition - Slide 10*

EVIDENCE & AUDIT TRAIL

# Why Management Can Trust the Number

| 31,671 | 974 | 256 | 26 | 24 Months |
|---|---|---|---|---|
| **Transaction Records** | **Suppliers** | **Material Groups** | **Plants** | **Analysis Period** |
| Audited PO & invoice lines | Vendor master profiled | Clean taxonomy categories | Manufacturing plant sites | April 2024 - March 2026 |

**Every rupee is traced to specific PO line items and supplier rate differentials. Zero high-level extrapolation.**

Reconciled against verified baseline of Rs. 5920.3500 Cr under strict data isolation.

### STEP 1: Data Ingestion & Hygiene

100% line-item normalization; duplicate elimination.

### STEP 2: Isolation & Encryption

Customer data processed under dedicated AES-256 isolation.

### STEP 3: Independent Validation

Multi-lever overlap deductions eliminate double-counting.

*Full audit methodology: Boardroom & Evidence Edition - Slides 7-10*

# How the Value Will Be Captured: Execution Pillars

## 01 RATE HARMONIZATION

**Cross-plant price alignment & benchmark-led negotiations**

- Inter-plant variance elimination on identical standard SKUs
- Ex-works benchmark rate cards indexed to regional delivery
- ERP real-time price verification stopping contract rate creep

## 02 VOLUME AGGREGATION

**Pool fragmented demand & increase supplier leverage**

- Aggregate multi-plant requirements into national master contracts
- Demand consolidation across 26 plants for tier-1 volume discounts
- Master distributor agreements for regional MRO consumables

## 03 STRATEGIC SOURCING

**Competitive tenders, rationalization & benchmark alignment**

- Multi-round competitive bidding and dynamic e-auctions
- Strategic vendor base consolidation and panelling
- Formula-based commodity indexation (PCBI market linkage)

### TACTICAL EXECUTION MECHANISMS

| | | | | |
|---|---|---|---|---|
| **E-Auction** | **Specification** | **Payment Terms** | **Contract Compliance** | **Category Strategy** |

*E-auction operates as a tactical execution mechanism for price discovery, not the sole savings thesis.*

IMMEDIATE VALUE CAPTURE

# Wave 1 - Immediate Value Capture: Priority Initiatives

PROVEN WAVE 1 OPPORTUNITY

**Rs. 47.90 Cr**

**5 pre-qualified commercial initiatives with technical specification signoff, ready for 90-day execution.**

### Packaging Bags

**Rs. 14.50 Cr**

PACKAGING

E-Auction & Index Linkage

**Days 1-30**

### Grinding Media

**Rs. 11.20 Cr**

CONSUMABLES

Price Variance Arbitrage

**Days 15-45**

### Imported Fuel

**Rs. 9.80 Cr**

ENERGY

PCBI Benchmark Index

**Days 30-60**

### Industrial Lubricants

**Rs. 6.40 Cr**

MAINTENANCE

Volume Pooling & OEM

**Days 45-75**

### Refractory

**Rs. 6.00 Cr**

RAW MATERIALS

Vendor Panelling

**Days 60-90**

**Validated Wave 1 initiatives provide the first execution pathway from identified opportunity to realized savings.**

Note: Proven Opportunity (Rs. 47.90 Cr) is the immediate execution tranche, distinct from Realized Savings (Rs. 68.00 Cr).

*Detailed initiative ledger: Boardroom & Evidence Edition - Slide 24*

EXECUTION ROADMAP

# From Opportunity to Execution in 90 Days

## DAYS 1-30

### Mobilize & Quick Wins

**Packaging Bags E-Auction & Rate Harmonization**

- Mobilize joint procurement steering committee
- Baseline validation & supplier pre-qualification
- Launch Packaging Bags master e-auction (Rs. 14.50 Cr)
- Establish corporate rate cards for immediate quick wins

## DAYS 31-60

### Market Engagement & Tenders

**Grinding Media & Fuel Benchmark Alignment**

- Issue dynamic tenders for grinding media (Rs. 11.20 Cr)
- Align imported coal & petcoke contracts to PCBI index
- Launch secondary freight multi-plant corridor bidding
- Commercial negotiations on top 100 consumable SKUs

## DAYS 61-90

### Award & Savings Realization

**Lubricants, Refractory & Contract Signoff**

- Award consolidated lubricants & refractory master contracts
- Enforce contract compliance rules in ERP purchase orders
- Reconcile realized P&L EBITDA impact with finance teams
- Deploy continuous tracking dashboard for ongoing leakage

**HERO TARGET: Rs. 47.90 Cr Proven Opportunity Targeted for 90-Day Commercial Realization**

Direct process savings from 824 POs remain unmonetized until customer time-motion / manpower baseline validation.

Risk / cost avoidance: Rs. 420 Cr spend de-risked across 4 dual-source programs is tracked separately and not monetized.

*Detailed roadmap: Boardroom & Evidence Edition - Slides 24-25*

PLATFORM & ADVISORY CAPABILITIES

# Why Procucev + aiCEV: Enterprise Partner Value

### PROCUREMENT EXPERTISE

**Domain Authority & Category Depth**

- Decades of direct category leadership in heavy manufacturing
- Specialized playbooks across fuel, power, logistics & MRO
- Senior practitioner negotiation support across pan-India suppliers

### FORENSIC SPEND INTELLIGENCE

**Transaction-Level Precision**

- Granular transaction harmonization across 31,671 invoice lines
- Multi-plant price dispersion detection across 26 operating units
- Systematic exclusion and overlap deduplication governance

### MARKET BENCHMARK INTELLIGENCE

**Independent Market Anchoring**

- Proprietary PCBI indices for cement-specific commodities
- Independent index-linked pricing formulas (coal, petcoke, polymer)
- Market timing intelligence for contract renegotiation windows

### EXECUTION & SAVINGS REALIZATION

**Measurable P&L Impact**

- Dynamic e-auction platform and RFP commercial orchestration
- Joint steering model driving plant-level operational adoption
- Continuous savings ledger tracking realized cash flow impact

**From transaction data to procurement decision to measurable execution.**

Customer procurement data is handled under configured tenant isolation, access controls, confidentiality and data-governance controls.

# PROPOSED NEXT STEPS

## 01 ALIGN

**Wave 1 Priority**

**Confirm priority Wave 1 categories**

Confirm priority categories and align key stakeholders on immediate commercial launch across packaging bags, grinding media, and fuel.

## 02 MOBILIZE

**Joint Governance**

**Establish joint procurement working group**

Charter joint central procurement and plant execution steering team to harmonize cross-plant specifications and vendor panels.

## 03 EXECUTE

**Commercial Sourcing**

**Launch approved competitive sourcing initiatives**

Launch approved dynamic price discovery events and corporate rate card standardizations across vetted supplier panels.

**Rs. 78.72 Cr Direct Savings Opportunity | Rs. 93.60 Cr Net Defensible Pipeline**

## Move from diagnostic to execution.

**Contact: leadership@procucev.com**